

Retail Employment As of the second quarter of 2015, there were 130,550 retail jobs in San Francisco (Table 6). About 37,400 (29%) of these jobs are found in the C-3 District (Table 7). This is roughly the same share of retail jobs reported in 2014. Hotel Employment San Francisco's hotel jobs are heavily concentrated downtown. As of the second quarter of 2015, there were approximately 16,700 hotel jobs in the city. About 10,660 (64%) of these jobs were in the C-3 District.

Revenue This section reports tax revenues from business taxes (including registration and payroll), property taxes (including transfer tax and annual tax), sales and use taxes, and the hotel tax for the 2015-2016 fiscal year (FY).⁷ The information reported for FY15-16 are revenue projections for the full fiscal year, and are based on the amount collected as of March 31, 2016. In general, the FY 2015-16 budget assumed increases in tax revenue thanks to continued economic growth.⁸

Business Taxes Business tax revenue (Table 8) in FY 2015-16 is estimated at \$654.7 million, up 6% from \$616 million in FY 2014-15. In November 2012, San Francisco voters approved the Gross Receipts Tax and Business Registration Fees Ordinance (Proposition E), which introduced major changes to the way businesses are taxed in the city. On January 1, 2014, the City started collecting a Gross Receipts tax, and phasing out the existing Payroll tax. In this fiscal year, total business tax revenue is comprised of business payroll tax, registration tax, gross receipts tax, and administrative office tax. Business payroll taxes assess the payroll expense of persons and associations engaging in business in San Francisco and continue to represent the vast majority of business taxes collected. This tax imposes a fee on all businesses that employ or contract with one or more employees to perform work or render services.

7 Fiscal Year 2015 begins on July 1, 2015 and ends on June 30, 2016. 8 City and County of San Francisco, Controller's Office, FY 2015-16 Nine-Month Budget Status Report, May 19, 2016.

within the city. In FY 2015-16, the Controller's Office estimated that it will collect \$464.2 million in payroll taxes, down 8.3% from \$506.4 million in FY 2014-15. Business registration tax is an annual fee assessed for general revenue purposes on all business in the city. The formula for calculating this fee was amended as part of Prop E, resulting in significantly higher collections starting in FY 13-14. The Controller's Office estimates that approximately \$35.7 million in business registration fees will be collected in FY 2015-16, up 5.3% from \$33.9 million in FY 2014-15. Gross receipts and Administrative office taxes are based on a business's gross receipts from business done in San Francisco, rather than on a business's payroll expense. As the Gross Receipts Tax is phased in to replace the Payroll Tax, collections have grown significantly, to an estimated \$133.1 million in FY 2015-16, a 141% increase over FY 14-15. The Controller's Office estimates that approximately \$21.7 in administrative office taxes will be collected in FY 2015-16.

Property Taxes Real property taxes (Table 9) are the largest single source of tax revenue for the City. The Controller's Office expects property taxes to increase in fiscal year 2015-16.⁹ Together, an estimated \$1.63 billion in property related taxes will be collected in FY 2015-16, up 2.7% from \$1.59 billion last year. Real property taxes allocated to the general fund in FY 2015-16 are estimated at \$1.37 billion, up 8% from \$1.27 billion in FY 2014-15 (Table 9). Property transfer taxes are estimated to decrease by 18.6% during the reporting period. Projected collections for FY 2015-16 are estimated to be about \$256 million, down from \$314.6 million in FY 2014-15. (Table 9). Unlike real property taxes, which are collected annually and based on property valuation assessments, property transfer tax is highly volatile because it is collected only at the time of sale and is based on sales price.

9 Ibid. 7

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